

THE EQUITY EXPRESSION OF THE STAGFLATION THESIS

The Pass-Through Problem

On 28 August the chairman of the Federal Reserve told Jackson Hole that underlying inflation had not meaningfully improved and that the central bank had work to do. Five days later a private payrolls survey put August hiring at 38,000, and the ten-year Treasury note touched 4.818 per cent, its highest since late 2023. Those facts are supposed to point in opposite directions. That they do not — that a tightening is being priced into a labour market which shed jobs in July — is what makes this week worth understanding rather than watching.

The question has changed from whether the Committee will cut to whether it will raise, and the answer turns on something monetary policy handles badly: an inflation rate being set, at the margin, by a waterway in the Persian Gulf.

A reframe worth holding onto

Stagflation is usually described as a state — high inflation and weak growth arriving together. It is more useful as an ordering problem. Costs and demand both move; the question is which one reaches the income statement first. Where a cost increase lands before demand falls, and a contract, an index or genuine scarcity allows it to be passed on, margins survive. Where demand falls first, the same cost increase is absorbed and the margin does not. The macro data will not tell a reader which businesses sit in which category. The revenue line will.

Method. External figures come from primary releases — the Bureau of Labor Statistics, the Bureau of Economic Analysis, company earnings statements — and from dated market reporting, each attributed at the point of use with its date. The internal leg could not be run: the Heyokha research Wiki was unreachable from this session, so no internal page, provider issue or house view is cited below, and the sidebar reframe is the editor's construction rather than an attributed internal view. Every claim here is external and dated. See *Sources and update notes*.

Consider a bakery in a town supplied by a single canal. The flour arrives by barge. One week the canal is blocked and flour costs twice what it did. The baker raises the price of a loaf, because she has no alternative and her customers have nowhere else to buy bread. The town's statistician records that the price of bread has risen. The town's banker, reading that number and fearing the townspeople will come to expect dearer bread permanently, raises the cost of the baker's overdraft. The baker now faces expensive flour and expensive credit, sells fewer loaves because her customers have less money after paying more for bread, and lets her assistant go. Every actor behaved sensibly. The canal is still blocked, and the town has one fewer job. This is the problem facing the Federal Reserve on 16 September.

THE STORY IN 60 SECONDS

3.4%

US consumer prices, twelve months to July 2026. Core, stripping out food and energy, rose 2.5 per cent. The gap is fuel: gasoline rose 24.6 per cent on the year.

Bureau of Labor Statistics, released 12 August 2026.

38,000

Private-sector jobs added in August, against a forecast of 48,000 and a revised 46,000 in July — the weakest month since January. Manufacturing, professional services and information cut staff.

ADP National Employment Report, 2 September 2026.

5.27%

The thirty-year Treasury yield, with the ten-year at 4.79 per cent and the two-year at 4.39 per cent. The long end is pricing something other than a slowdown.

Market data as at 1 September 2026.

THE SETUP

Two data sets, pulling apart

The hawkish turn is recent and traceable. Speaking at the Jackson Hole symposium on 28 August, Chairman Kevin Warsh said the Committee must be confident that underlying inflation is moving to its objective “clearly and at sufficient speed”, and that otherwise it had work to do. He noted that prevailing inflation had run above the 2 per cent target for 65 months. Fed funds futures repriced immediately: the implied probability of a quarter-point increase at the September meeting rose to 60.4 per cent on the CME's FedWatch measure, from roughly 40 per cent the week before, and was reported at close to two chances in three by 2 September. The target range has stood at 3.50–3.75 per cent since December 2025, and the Committee voted nine-to-hold at its July meeting. It next meets on 15–16 September, with a Summary of Economic Projections and a dot plot due alongside the decision.

The labour data have moved the other way. Non-farm payrolls fell by 23,000 in July, and the two months before that were revised down by a combined 103,000. The unemployment rate held at 4.1 per cent. On 2 September, ADP put private hiring at 38,000 in August, below a 48,000 consensus and down from a revised 46,000 — the slowest month since January — with manufacturing, professional services and information shedding staff while education and health services added 45,000 and leisure and hospitality 16,000. The official August employment report lands on Friday 4 September; surveyed economists look for somewhere between 50,000 and 58,000 with unemployment unchanged, though at least one forecaster expects a fall of 25,000. On 2 September the New York Fed president, John Williams, publicly declined to read the chairman's remarks as a commitment to act.

The inflation data are more ambiguous than either camp allows, because the two principal gauges disagree. Headline CPI rose 3.4 per cent in the twelve months to July, down from 3.5 per cent in June, while core CPI eased to 2.5 per cent from 2.6 per cent. Within that, the energy index rose 14.7 per cent on the year and gasoline 24.6 per cent; airline fares, where jet fuel is the swing cost, rose 25.5 per cent; shelter rose 3.2 per cent. But the Federal Reserve does not target CPI. It targets the personal consumption expenditures deflator, and core PCE held at 3.3 per cent in the year to July, with the headline measure at 3.7 per cent. A core PCE rate eighty basis points above core CPI is an unusual configuration, and the Committee is obliged to set policy against the higher of the two.

The energy leg has a specific and current cause. On 2 September the US military launched fresh strikes on Iranian targets around the Strait of Hormuz, described as retaliation for attempts to mine the waterway and for an earlier attack on a US base. Brent futures for November delivery gained more than 2 per cent to \$96.59 a barrel and WTI for October rose 1.73 per cent to \$91.78, leaving Brent near \$95 and at its highest in roughly six weeks. Nothing physical has yet been interrupted. The price is paying for the possibility that it will be.

THE ESSENTIAL DISTINCTION

A price-level shock and an inflation process look identical in a single monthly print, and they are not the same thing. Raising the policy rate cannot reopen a strait or refloat a barge. It can only reduce the quantity of everything else demanded, until the average price rises more slowly. *The Federal Reserve is not choosing between inflation and employment. It is choosing how much employment to spend on an inflation it did not cause.*

MECHANISM

How a barrel becomes a rate decision

1 • The premium is added

Strikes around the Strait of Hormuz attach a risk premium to crude. Brent November futures rose more than 2 per cent on 2 September to \$96.59; WTI October rose 1.73 per cent to \$91.78. No cargo has been stopped. The market is pricing the option that one will be.



2 • The refiner passes it on

Crude is the largest single input into a gallon of petrol. Refiners hold thin inventory and price off replacement cost, so the pump follows the barrel within weeks rather than quarters. The US gasoline index rose 24.6 per cent in the twelve months to July.



3 • The index records it

Energy carries a modest weight in the basket but a large amplitude. It lifted headline CPI to 3.4 per cent for the year to July while core, which excludes it, sat at 2.5 per cent. Airline fares, effectively refined crude sold by the seat, rose 25.5 per cent.



4 • The committee responds

Officials watch headline inflation for its effect on expectations, not core alone — and the chairman's count of 65 months above target is a headline count. With the target range unchanged since December 2025, futures now put a September increase at roughly two chances in three.

Inflation components: Bureau of Labor Statistics, Consumer Price Index — July 2026, released 12 August 2026. Crude prices: market reporting, 2 September 2026. Policy-rate probabilities: CME FedWatch as reported between 31 August and 2 September 2026. The sequence describes a transmission channel, not a forecast; the timing between steps two and three varies with refinery utilisation and retail margin.

3.3%

Core PCE inflation, twelve months to July 2026 — unchanged from June, and 130 basis points above the Federal Reserve's target. The headline PCE rate was 3.7 per cent. This is the gauge policy is actually set against.
Bureau of Economic Analysis, 26 August 2026.

–23,000

The change in US non-farm payrolls in July 2026, with the prior two months revised down by 103,000 combined. Unemployment nonetheless held at 4.1 per cent, implying a labour force that is shrinking alongside demand.
Bureau of Labor Statistics, Employment Situation.

3.50–3.75%

The federal funds target range, unchanged since December 2025 and held nine-to-nothing in July. The Committee next meets on 15–16 September, with a decision at 14:00 Eastern on the second day.
Federal Reserve.

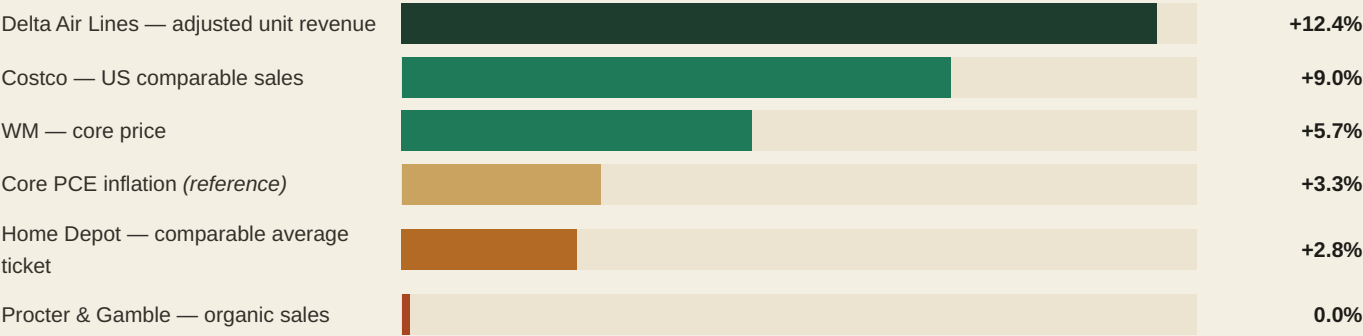
Figures as published; no estimates or projections are shown. Payroll revisions refer to the May and June 2026 estimates as revised in the July release.

THE COMPARISON

Who has been able to raise prices

If the argument is about pass-through, the test is not what the aggregate price indices say but what individual revenue lines did in the most recently reported quarter. The dispersion is wide, and it does not track sector orthodoxy. A branded

consumer staples portfolio, conventionally the archetype of pricing power, delivered nothing. A refuse business, conventionally a utility-like compounder, delivered the most reliable increase in the group.



Bars are illustrative and deliberately not like-for-like. Delta's adjusted total unit revenue and Costco's comparable sales blend price, mix and volume; WM's core price and Home Depot's comparable average ticket are narrower measures; P&G's organic sales exclude currency and portfolio effects. Periods: Delta, June quarter 2026; Costco, the four weeks to 30 August 2026; WM, second quarter 2026; Home Depot, second quarter fiscal 2026; P&G, fourth quarter fiscal 2026. Core PCE is the twelve months to July 2026 (Bureau of Economic Analysis, 26 August 2026) and is shown as a reference only, not as a comparable company metric. Company figures from the respective earnings releases.

A USEFUL MENTAL MODEL

Ask of any business two questions, in this order. Does its price reset automatically — by contract, index or scarcity — or does it require a customer to say yes? And does its cost arrive before or after that reset? *Companies whose prices reset first and automatically will look like inflation beneficiaries for two or three quarters. Companies whose costs arrive first will look like victims for exactly as long. Neither condition is permanent, and neither is a verdict on the business.*

THE SHIFT

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The direction of the next move	Futures moved from pricing cuts to roughly a two-in-three chance of a quarter-point increase on 16 September, after the chairman said on 28 August that the Fed had “work to do”.	A hike would defend both the target and the long end of the curve. It would also be a tightening delivered into contracting payrolls, and if the shock is energy-driven it treats a symptom at the cost of the patient.
The composition of inflation	Headline CPI 3.4 per cent for the year to July against core at 2.5 per cent; the energy index rose 14.7 per cent and gasoline 24.6 per cent.	Core at 2.5 per cent argues the domestic process is close to contained. Headline at 3.4 per cent argues expectations are being tested for a sixty-fifth month above target.
The two gauges disagree	Core PCE was 3.3 per cent in the year to July; core CPI was 2.5 per cent. A gap of that size in that direction is unusual.	Policy is set on the PCE measure regardless. If core CPI is nearer the truth, the Committee would be tightening against a number that overstates the problem — and there is no way to know in advance which gauge is right.
The labour market	Payrolls fell 23,000 in July with 103,000 of downward revisions behind it; ADP put August at 38,000. Unemployment held at 4.1 per cent.	Falling payrolls with a stable jobless rate implies a shrinking labour force as much as weak demand. That is disinflationary for output but not obviously disinflationary for wages.

The consumer's capacity to absorb

Personal income rose 0.4 per cent in July, but real spending was essentially flat after a 0.4 per cent real gain in June. The saving rate was 3.0 per cent.

Flat real spending caps how much cost can be passed on to households. A 3.0 per cent saving rate leaves very little buffer if energy stays where it is — but it also means demand destruction arrives quickly, which is disinflationary.

The price of the classic hedge

Gold traded at \$4,377 an ounce on 2 September, up roughly 23 per cent on the year but well below the record \$5,589 set on 28 January.

The asset most associated with stagflation peaked eight months ago and has fallen since. Either the trade was front-run in January, or the market does not accept the diagnosis now being offered.

THE ARGUMENT

Bull and bear, stated fairly**The case that this is a genuine stagflation**

- **Duration, not level, is now the argument.** Inflation has run above target for 65 months on the chairman's own count at Jackson Hole on 28 August. Expectations respond to persistence more than to any single print.
- **The Fed's preferred gauge is not improving.** Core PCE held at 3.3 per cent in the year to July and rose 0.2 per cent on the month — the same monthly pace as June, not a decelerating one.
- **The shock is standing, not passing.** The strikes of 2 September were retaliation for attempted mining of the Strait of Hormuz. Brent near \$95–97 reflects an ongoing risk to a chokepoint, not a single dated event.
- **The weak half is already present.** Real consumer spending was flat in July against 0.4 per cent growth in June, with a 3.0 per cent saving rate. That is observed, not forecast.
- **The long end agrees.** A thirty-year yield of 5.27 per cent against a two-year at 4.39 per cent is not the curve shape of a market expecting disinflation. Term premium is the plausible driver.
- **Company results already show the sorting.** Delta's unit revenue rose 12.4 per cent and WM's core price 5.7 per cent, while P&G's organic sales were flat. Dispersion of that width is what a cost shock looks like from the bottom up.

The case that this is a supply shock that passes

- **Core inflation is 2.5 per cent.** Excluding food and energy, the twelve-month CPI rate eased again in July, from 2.6 per cent. The domestic process is close to target; the headline is fuel.
- **The annual energy number is a base effect.** Gasoline rose 21.2, 5.4 and 7.0 per cent in March, April and May, then fell 9.7 per cent in June and 2.9 per cent in July. The energy index declined 1.5 per cent in July, and shelter accounted for about two-thirds of the month's headline increase.
- **The Committee is not of one mind.** John Williams pushed back on 2 September against reading the chairman's remarks as a commitment, and the July vote was nine-to-hold. A hawkish speech is a speech.
- **Payrolls are contracting.** July was minus 23,000 with 103,000 of downward revisions behind it. Tightening into that has a poor record, and the August figure arrives on 4 September, before the meeting.
- **The hedge has not worked.** Gold peaked at \$5,589 on 28 January and traded at \$4,377 on 2 September — roughly a fifth below the high, in a year the thesis supposedly strengthened.
- **Equities are not positioned for a hike.** The S&P 500 closed at 7,666.60 on 2 September, up 0.46 per cent, with small capitalisations leading — an unusual response to two-in-three odds of tightening.

Where the readings conflict. The usual comparison in this format sets the internal Wiki view against external reporting and names the point of disagreement. That comparison cannot be made in this edition, because the Wiki was unreachable; the disclosure is made here rather than buried in the notes. What can be reported is a direct conflict between two external signals, and it is left unresolved. The bond market is behaving as though the diagnosis is stagflation: a thirty-year yield of 5.27 per cent alongside a two-year at 4.39 per cent, with the ten-year at a level last seen in late 2023, is a term-premium curve rather than a growth curve. Gold, the instrument most closely associated with the same diagnosis, is behaving as though the diagnosis is wrong, or at least already discounted: it peaked at \$5,589 on 28 January and traded at \$4,377 on 2 September, down roughly a fifth from the high even as the fed funds debate turned hawkish and oil rose. Equity indices, meanwhile, rose on 2 September with small capitalisations leading — the least stagflationary breadth of the three. Three markets cannot all be right. This edition does not attempt to say which one is, and readers should be sceptical of any account that resolves the contradiction cleanly.

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
August payrolls Friday 4 September	Consensus sits around 50,000 to 58,000 with unemployment holding at 4.1 per cent. At least one forecaster expects a fall of 25,000.	The last major labour reading before the meeting. A negative print would make a hike a political as well as an economic act.
August CPI Friday 11 September	July was 3.4 per cent headline and 2.5 per cent core. The gap matters more than either level.	If core rises while headline falls, the energy explanation weakens and the case for tightening becomes much stronger.
Brent crude near \$95	The price embeds a risk premium on the Strait of Hormuz rather than a realised interruption of supply.	De-escalation removes several tenths from headline inflation within a quarter. A closure removes the argument that any of this is temporary.
The thirty-year at 5.27 per cent	The long end is demanding more compensation even as the growth data soften.	Rising long rates with falling payrolls is the signature of a term-premium problem, not a growth story. It lifts the discount rate on every asset.
The dot plot 16 September	A Summary of Economic Projections accompanies the decision at 14:00 Eastern.	The path matters more than the meeting. One increase framed as insurance reads very differently from a projected sequence.
Third-quarter revenue-line dispersion	Delta reports the September quarter in October, with P&G, WM and Home Depot following through the autumn.	The spread between core price and organic sales growth is the cleanest available measure of who can still pass costs on and who has stopped.

EXPRESSION

Three postures, not one answer

Own the shock

Take direct exposure to the cost that is doing the work. Integrated energy converted a higher barrel into \$14.5 billion of quarterly earnings and more than \$17 billion of free cash flow at ExxonMobil. **The cost:** the position is long a geopolitical premium, and premiums unwind faster than they accumulate. A negotiated de-escalation around Hormuz would remove the earnings and the inflation argument in the same week.

Own the pass-through

Prefer businesses whose prices reset by contract or index rather than by negotiation — waste, parts of infrastructure, some insurance. WM raised core price 5.7 per cent while volumes fell 1.8 per cent. **The cost:** these are expensive, slow-growing assets whose valuations are unusually sensitive to the long bond, and the long bond is at 5.27 per cent and rising.

Own the discount rate

Accept that the binding variable is the rate rather than the inflation, and prefer near-term cash generation and low leverage to terminal-value stories. **The cost:** if the Committee holds on 16 September and the energy premium fades, this posture captures none of the relief. It has also been the losing side of nearly every episode since 2023, which is a reason for humility rather than confidence.

The companies named below are illustrative of the mechanisms described in this edition. They are NOT recommendations, and no position in any of them is expressed or implied. All figures are as reported by the companies on the dates stated.

XOM

\$14.5bn net income
Q2 2026

ExxonMobil Corporation

Second-quarter earnings of \$14.5 billion, against \$4.18 billion in the first quarter, with adjusted earnings of \$14.68 billion versus \$8.77 billion. Cash flow from operations was \$23.6 billion and free cash flow exceeded \$17 billion. Production averaged 4.51 million barrels of oil equivalent a day, down from 4.59 million, with record Permian output and a recovery in refining offsetting Middle East disruption. The point is not the size of the result but its source: the same barrel price that produced these numbers is what carried the gasoline index up 24.6 per cent.

WATCH NEXT

The fifth Guyana floating production vessel, adding 250,000 barrels a day, is scheduled to start up in the fourth quarter — volume growth that does not depend on the risk premium holding.

DAL

unit revenue +12.4%
June quarter 2026

Delta Air Lines, Inc.

June-quarter revenue grew 14 per cent, more than \$2 billion higher than a year earlier, on roughly 1 per cent more capacity; adjusted total unit revenue rose 12.4 per cent. That is a business passing costs on, and it had little choice: the adjusted fuel price was \$3.93 a gallon, up 75 per cent year on year, and non-fuel unit costs rose 6.8 per cent. The CPI airline fares index, up 25.5 per cent over twelve months, is this income statement viewed from the passenger's seat.

WATCH NEXT

Whether unit revenue keeps pace with fuel into the seasonally weaker September and December quarters, when leisure demand does not support the same fares.

WM

core price +5.7%
Q2 2026

WM (Waste Management, Inc.)

Revenue rose 4 per cent to \$6.68 billion, narrowly below consensus, while core price rose 5.7 per cent and collection and disposal yield 3.6 per cent. Volumes fell 1.8 per cent, or 0.4 per cent excluding prior-year wildfire clean-up work. Free cash flow was \$1.10 billion, up 34.5 per cent. Management cut the revenue outlook and raised the margin outlook to 31–31.2 per cent — about the clearest statement available that price, not volume, is doing the work.

WATCH NEXT

Whether volume declines stay inside a point. Indexed price applied to a shrinking base eventually stops compounding, and the margin guidance depends on it.

COST

US comparables +9.0%
August 2026

Costco Wholesale Corporation

August net sales of \$23.70 billion for the four weeks to 30 August rose 9.9 per cent, with total comparable sales up 8.4 per cent, US comparables up 9.0 per cent and digitally enabled comparables up 17.9 per cent. In the third fiscal quarter, sales rose 11.6 per cent to \$69.15 billion and membership income 10.7 per cent, with 82.9 million paid memberships and a 92.2 per cent renewal rate in the US and Canada. A retailer accelerating while aggregate real spending is flat is taking share from somewhere.

WATCH NEXT

The renewal rate. It is the cleanest read available on whether households still regard the annual fee as a saving rather than a subscription to cancel.

PG

organic sales 0.0%
Q4 FY2026

The Procter & Gamble Company

Fourth-quarter net sales of \$21.2 billion rose 2 per cent, but organic sales were unchanged, with volume, price and mix each contributing nothing. Core earnings per share fell 3 per cent to \$1.43, and 5 per cent on a currency-neutral basis. Core gross margin was flat: 160 basis points of productivity savings and 40 points of net tariff benefit were offset by 120 points of adverse mix, 70 points of reinvestment and 40 points of higher commodity costs, with pricing contributing 10 basis points. This is what a branded portfolio looks like once it has run out of room to raise prices.

WATCH NEXT

Any return of positive pricing in the September quarter. Its continued absence would suggest the binding constraint is the household budget rather than the category.

HD

comparable sales +1.7%
Q2 FY2026

The Home Depot, Inc.

Second-quarter sales of \$47.9 billion rose 5.7 per cent, with comparable sales up 1.7 per cent and US comparables up 1.3 per cent; earnings were \$4.79 a share against \$4.58. Comparable average ticket rose 2.8 per cent — below core PCE inflation, meaning the average basket shrank in real terms. Guidance was reaffirmed rather than raised. With mortgage rates around 6.5 per cent and a thirty-year Treasury at 5.27 per cent, this is the rate-sensitivity side of the argument rather than the inflation side.

WATCH NEXT

Housing turnover. Renovation by owners who cannot afford to move is a substitute for moving, and unlike moving it does not repeat.

The bottom line

What was repriced over the past week was neither inflation nor growth. It was the assumption that the Federal Reserve's next move would be downwards. Between a speech on 28 August and a payroll survey on 2 September, futures moved from pricing cuts to roughly a two-in-three chance of an increase on 16 September; the ten-year note reached its highest yield since late 2023; and the thirty-year sat at 5.27 per cent. Equity indices, notably, did not object. The S&P 500 closed at 7,666.60 on 2 September, up 0.46 per cent, with small capitalisations leading.

The evidence is genuinely mixed and is better left that way. Core CPI at 2.5 per cent and a gasoline index up 24.6 per cent say this is a supply shock; core PCE at 3.3 per cent and sixty-five months above target say it is a process. Payrolls fell in July, and unemployment did not rise. Gold, which exists to price exactly this scenario, peaked in January and is a fifth below its high. The reasonable inference is narrower than the debate around it: whichever diagnosis is correct, the cost of capital is rising while real consumption is flat, and that combination sorts companies by whether their prices reset automatically or require a customer's consent. The next test is Friday's payroll report; the one after that is the dot plot on 16 September.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not a solicitation to buy or sell any security. Companies named are illustrative of the mechanisms discussed and no position in them is expressed or implied. All external figures are attributed and carry the date or period they refer to; where a figure could not be verified against a primary or dated secondary source it has been omitted rather than estimated. Internal Heyokha Wiki material would normally appear here as the named opinion of a named research provider, labelled as a view rather than a forecast; no such material appears in this edition because the Wiki could not be reached, and that failure is disclosed in the method note above and in the notes below. Where signals conflict, the conflict is stated and left unresolved rather than reconciled.

Sources and update notes

(a) Internal sources. None. The Heyokha research Wiki MCP server was not present in this session's tool set, and repeated attempts to locate it returned no matching tools. No internal theme page, source-summary page or provider issue was read, and consequently no Wiki page slug, created date or *last_reviewed* date can be cited, and no research provider — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — is relied upon or attributed anywhere in this edition. Every substantive claim above is external and dated. The topic was therefore selected from external market reporting rather than from Wiki entity-recency scoring, as described in paragraph (d).

(b) Limitation on the internal view. The standing limitation of this format is provider concentration: a Wiki theme page typically leans on two or three subscription research providers whose houses share a directional bias, so an internal view can look better corroborated than it is. This edition carries the opposite limitation, and it is at least as serious. With no internal leg, there is no independent framework held over time against which this week's reporting can be checked, and no record of what the house thought about stagflation before the data turned. An edition built entirely from the last ten days of press coverage inherits that coverage's recency bias and its tendency to narrate whichever direction prices last moved. The bear case in this edition was assembled from external reporting and from tensions inside the companies' own results — principally the divergence between core CPI and core PCE, the monthly pattern in the gasoline index, and the gold price — rather than drawn from any prepared internal counter-argument, and it should be read with that provenance in mind.

(c) External sources. (1) Bureau of Labor Statistics, *Consumer Price Index — July 2026*, released 12 August 2026: headline CPI +0.1 per cent on the month and +3.4 per cent over twelve months; core +0.2 per cent and +2.5 per cent; energy index +14.7 per cent and −1.5 per cent on the month; gasoline +24.6 per cent over twelve months and monthly changes of +21.2, +5.4, +7.0, −9.7 and −2.9 per cent for March to July; shelter +3.2 per cent and about two-thirds of the July monthly increase; airline fares +25.5 per cent; the August release is scheduled for 11 September 2026. (2) Bureau of Economic Analysis, *Personal Income and Outlays, July 2026*, released 26 August 2026: core PCE +0.2 per cent on the month and +3.3 per cent over twelve months, headline PCE +3.7 per cent; personal income +\$115.1 billion, or +0.4 per cent; real spending essentially flat after +0.4 per cent in June; personal saving \$712.0 billion and a saving rate of 3.0 per cent. (3) Bureau of Labor Statistics, *Employment Situation: July 2026* payrolls −23,000, unemployment 4.1 per cent, prior two months revised down by 103,000 combined; the August report is scheduled for 08:30 Eastern on Friday 4 September 2026, with surveyed forecasts of roughly +50,000 to +58,000 and unemployment at 4.1 per cent, and at least one published forecast of −25,000. (4) ADP National Employment Report, 2 September 2026: +38,000 private-sector jobs in August against a +48,000 consensus and a revised +46,000 in July, the slowest month since January; education and health services +45,000; leisure and hospitality +16,000; manufacturing, professional services and information negative. (5) Remarks by Chairman Kevin Warsh at the Jackson Hole symposium, 28 August 2026, as reported: underlying inflation has not “meaningfully improved”; the Committee must be confident inflation is moving to target “clearly and at sufficient speed”, otherwise it has “work to do”; inflation above the 2 per cent target for 65 months. (6) CME FedWatch as reported between 31 August and 2 September 2026: implied probability of a 25 basis-point September increase of 60.4 per cent, from roughly 40 per cent the prior week, reported at close to 66 per cent by 2 September. (7) Federal Reserve: target range 3.50–3.75 per cent, unchanged since December 2025 and held nine-to-nothing at the

28–29 July 2026 meeting; next meeting 15–16 September 2026, decision at 14:00 Eastern on 16 September with a Summary of Economic Projections. (8) Market data, 1–2 September 2026: ten-year Treasury 4.79 per cent on 1 September with an intraday high of 4.818 per cent on 2 September, described in reporting as the highest since late 2023; two-year 4.39 per cent; thirty-year 5.27 per cent. (9) Market reporting, 2 September 2026: US strikes on Iranian targets around the Strait of Hormuz; Brent November futures +2 per cent or more at \$96.59 a barrel and WTI October +1.73 per cent at \$91.78, with Brent near \$95 and at roughly a six-week high. (10) Equity close, 2 September 2026: S&P 500 7,666.60 (+0.46 per cent), Nasdaq Composite 26,217.83 (+0.45 per cent), Dow Jones Industrial Average 53,061.95 (+295.07 points, +0.56 per cent), with small capitalisations outperforming. (11) Gold, 2 September 2026: \$4,377.15 an ounce, +7.94 per cent over the month and +22.98 per cent year on year, against a record \$5,589.38 set on 28 January 2026; dollar index 99.622. (12) Company earnings releases: ExxonMobil second quarter 2026 (30 July 2026) — net income \$14.5 billion, adjusted earnings \$14.68 billion, operating cash flow \$23.6 billion, free cash flow above \$17 billion, production 4.51 million barrels of oil equivalent a day, fifth Guyana vessel adding 250,000 barrels a day due in the fourth quarter; Delta Air Lines June quarter 2026 — revenue \$19.8 billion and +14 per cent, adjusted unit revenue +12.4 per cent, adjusted fuel price \$3.93 a gallon and +75 per cent, non-fuel unit costs +6.8 per cent, capacity +1 per cent; WM second quarter 2026 (27–28 July 2026) — revenue \$6.68 billion and +4 per cent, core price +5.7 per cent, collection and disposal yield +3.6 per cent, volume –1.8 per cent, adjusted earnings \$2.02 a share, free cash flow \$1.10 billion and +34.5 per cent, 2026 revenue outlook \$26.275–26.475 billion and margin outlook 31–31.2 per cent; Costco third fiscal quarter 2026 and August sales — quarterly net sales \$69.15 billion and +11.6 per cent, net income \$2.19 billion or \$4.93 a share, membership income +10.7 per cent, 82.9 million paid memberships, 148.5 million cardholders, renewal rates 89.7 per cent worldwide and 92.2 per cent in the US and Canada, August net sales \$23.70 billion and +9.9 per cent with comparables +8.4 per cent, US +9.0 per cent and digital +17.9 per cent; Procter & Gamble fourth quarter fiscal 2026 (7 August 2026) — net sales \$21.2 billion and +2 per cent, organic sales unchanged, core earnings \$1.43 a share and –3 per cent, gross margin bridge as detailed above, operating cash flow \$5.1 billion; Home Depot second quarter fiscal 2026 (18 August 2026) — sales \$47.9 billion and +5.7 per cent, comparable sales +1.7 per cent with US +1.3 per cent, earnings \$4.79 a share against \$4.58, comparable average ticket +2.8 per cent to \$92.50, full-year guidance reaffirmed at +2.5 to +4.5 per cent sales growth and flat to +2 per cent comparables.

(d) Editorial choices in this automated run. Three tool failures shaped this edition and each is disclosed rather than worked around. First, the Heyokha Wiki MCP server was absent from the session, so the entity-recency scoring that normally selects the topic could not be run and no internal material appears; the topic was chosen instead from external reporting on the three trading days to 2 September 2026, on the reasoning that the Jackson Hole speech of 28 August and the ADP release of 2 September had between them made the direction of the next policy move the dominant question in the market. Second, the remote-devices bridge specified for reading the archive was also absent; the cooldown check was completed a different way, by reading the HB Wiki Learning folder directly through the session's mounted file access, which is a more reliable route and produced a complete listing. The thirty-day cooldown set was verified as: AI Capex, Gold Miners, Grid Equipment, Oil & Gas, Software Unit Economics, Healthcare Rotation, Tanker Shipping, Uranium, Oil Chokepoint Risk, Seat-Based Software, Energy Chokepoints, Copper Smelting Bottleneck, Copper, Fiscal Dominance, China Equities, Memory Supercycle, Rare Earth Magnets, Gold, Humanoid Robots, Iran War, Coal, Grain Supply Shock, Yen Carry Trade, Power Affordability and AI Debt Financing. Stagflation appears nowhere in the archive and is therefore eligible. Third, and worth flagging: an edition dated 3 September 2026 on AI Debt Financing was already present in the folder when this run began, written earlier the same morning, which indicates the scheduled task fired twice. This edition deliberately avoids that topic and the adjacent Fiscal Dominance and Yen Carry Trade themes covered on 20 August and 1 September, even though the crowding-out of Treasury supply by corporate issuance is part of the long-end story told above; readers wanting that mechanism in full should consult the earlier edition rather than expect it here. Two further judgements: the bar chart deliberately mixes non-comparable revenue metrics because no comparable pricing disclosure exists across these business models, and the source note says so; and the reported divergence between core PCE at 3.3 per cent and core CPI at 2.5 per cent has been left as a stated anomaly rather than reconciled, because reconciling it would require weight-level detail that the published summaries do not provide.